Retail Account Manager Assessment Rules

Chapter 1 General Provisions

Article 1 These rules are issued to support the roll-out of the retail account manager scheme across the branch, to motivate account managers, and to grow the retail business steadily. They follow the head office programme for building the personal finance sales organisation, and are referred to below as these Rules.

Article 2 A retail account manager is a member of branch sales staff who markets personal finance products, develops the local market, and provides integrated banking services to the bank's personal customers.

Article 3 Assessment covers two categories: individual performance and work quality. Individual performance covers lending, deposits and card business. Work quality refers to the asset quality of the individual portfolio.

Article 4 To keep incentives consistent, an account manager's technical grade and salary are reassessed annually, and the bonus is reassessed every quarter. The assessment score is combined with the staff grade, and the manager is paid at the corresponding staff grade.

Chapter 2 Positions and Responsibilities

Article 5 The retail account manager career path has four positions: assistant account manager, account manager, senior account manager, and principal account manager.

Article 6 The core responsibilities of a retail account manager are:

(1) Customer development. Study customer information, approach and select customers, and build mutually supportive business relationships that widen the resource base and deliver good results.

(2) Product innovation and marketing. Track competitive movements in the market, research market and customer needs, innovate on products and services, design product bundles that match customer demand, and draw up and execute the marketing plan.

(3) Customer service. Handle and operate the bank's on- and off-balance-sheet credit business and fee business, providing an integrated service.

(4) Risk control and return. Raise risk awareness and capability, and improve the quality of the portfolio.

(5) Developing people. Alongside improving one's own capability, work as a team and develop the next generation of business staff.

Chapter 3 Basic Qualification Requirements

Article 7 Entry requirements for a retail account manager:

(1) Experience: a college diploma or above, and at least two years of banking experience.

(2) Capability: familiarity with the bank's product range and with market conditions, an understanding of the financial needs of each customer segment and of personal wealth management instruments, and demonstrated business and customer management ability.

(3) Track record: every retail account manager must meet the entry standard for the corresponding grade. The assessment department may adjust that standard in line with overall bank performance.

(4) Training: attendance at the professional training organised by the relevant departments, and a pass in the business examination.

(5) Compliance with branch human resources and professional management requirements.

Chapter 4 Individual Performance Standards

Article 8 Individual performance is assessed quarterly on three headline measures: average daily deposit balance for the quarter, net increase in active cards issued for the quarter, and net increase in personal loan balance for the quarter. The standards are:

Position	Staff grade	Score	Deposits	Loans	Cards
Assistant AM	5	90	3.0m	-	500
Assistant AM	4	95	3.0m	-	500
Assistant AM	3	100	3.0m	-	500

Position	Staff grade	Score	Deposits	Loans	Cards
Assistant AM	2	105	3.0m	-	500
Assistant AM	1	110	3.0m	-	500
Account manager	5	115	3.0m	-	500
Account manager	4	120	3.0m	-	500
Account manager	3	125	3.0m	-	500
Account manager	2	130	3.0m	-	500
Account manager	1	135	3.0m	-	500
Senior AM	5	140	5.0m	8.0m	-
Senior AM	4	145	5.0m	8.0m	-
Senior AM	3	150	5.0m	8.0m	-
Senior AM	2	155	5.0m	8.0m	-
Senior AM	1	160	5.0m	8.0m	-
Principal AM	5	165	5.0m	8.0m	-
Principal AM	4	170	5.0m	8.0m	-
Principal AM	3	175	5.0m	8.0m	-
Principal AM	2	180	5.0m	8.0m	-
Principal AM	1	185	5.0m	8.0m	-

Notes:

1. Deposit business, measured as the average daily balance for the quarter, is the minimum entry standard for every retail account manager grade.

2. Card business, measured as active cards newly issued in the quarter, is the minimum entry standard for trainee, class D and junior account managers.

3. An active card is defined as a card whose average monthly balance is 100 or above.

4. Loan business, measured as personal loans newly advanced in the quarter, is the minimum entry standard for mid-level account managers and above.

5. Amounts above the minimum standard may be converted between measures at the rate 500,000 in deposits = 500,000 in loans = 500 active cards = 5 points. Conversion is applied in units of 5 points.

Chapter 5 Work Quality Standards

Article 9 Work quality is assessed by deducting points. It covers the complaints, errors and risks arising from all personal business handled by the account manager. A maximum of 50 points may be deducted under this article; a major incident is handled under the branch's own regulations.

(1) Service quality assessment:

1. Weak sense of responsibility or lack of cooperation: 5 points deducted.

2. Inefficient customer service, a brusque manner, or failure to provide timely account maintenance, where the customer complains: 2 points are deducted for each complaint.

3. Failure to follow the sub-branch work plan, or failure to take part seriously in branch or sub-branch promotional activity: 2 points each time.

4. Failure to attend the training, examinations and special sessions organised by the branch or sub-branch: 2 points each time.

5. Failure to carry out pre-lending investigation or post-lending review as required: 5 points per case.

6. Failure to keep the credit ledger and the case file: 5 points per case.

7. Any finding of a breach of integrity at work: 50 points each time.

(2) Asset quality assessment:

An interest collection rate of 97% or above for the quarter is a pass; 2 points are deducted for each percentage point below that. Zero non-performing assets is a pass; 1 point is deducted for each percentage point above zero.

A. An overdue item carried across a month end, of no more than 100,000 in a single case, recovered within the quarter: 1 point.

B. Overdue items carried across a month end, two or more cases totalling no more than 200,000, recovered within the quarter: 2 points. Where the total exceeds 200,000: 4 points.

C. Any item overdue by more than three months, whatever the amount or the number of cases: 10 points.

Chapter 6 Appointment Procedure

Article 10 Any member of staff who meets the requirements of Chapter 3 for the technical position concerned may apply to the branch human resources department to be assessed and appointed as a retail account manager.

Article 11 January of each year is the application window for the account manager appointment review. The branch human resources department and the personal banking department run a single qualifying examination in February each year. Candidates who pass are issued a retail account manager certificate by the branch, valid for one year.

Article 12 Appointment is open and reviewable: the candidate applies, the department recommends, the branch assesses, the branch president appoints, and the position is reviewed and adjusted annually.

Article 13 Special appointments:

(1) A retail account manager recruited from another institution with branch approval is assessed by the hiring unit as class D staff, and is paid on the same terms as permanent staff according to performance. On confirmation, the manager applies for a technical position under Article 11.

(2) Sales staff who have made a major contribution to product innovation or business results may be appointed out of sequence, on the recommendation of the sub-branch and with the approval of the branch president.

Article 14 Where sales staff generate high profit but have not yet entered the technical position ladder, or hold a low technical position, managers at every level shall invest more in developing them so that they qualify sooner, and the employing unit shall set up an interim incentive scheme.

Chapter 7 Assessment and Pay

Article 15 The income of a retail account manager has three components: grade-based base pay, performance bonus, and day-to-day work bonus.

Grade-based base pay is the monthly base income for the position. There are four levels - assistant account manager, account manager, senior account manager and principal account manager - each divided into several grades.

The grade is set from the manager's performance in the previous year. For a first grading at this bank, the manager's self-assessment is the main input, and the personal banking department and the human resources department together make the final decision in the light of previous experience.

Assistant account managers are paid on the human resources scale for staff below principal officer; account managers on the principal officer scale; senior account managers on the deputy section head scale; and principal account managers on the section head scale.

The performance bonus is the amount actually paid out against results in each assessment period.

The day-to-day work bonus quantifies the administrative work carried out by the account manager and distributes a bonus against completion. It is allocated mainly by the head of the personal banking department and by each sub-branch president, weighted towards groundwork and innovation in the retail business.

Article 16 Where the total assessment score reaches the standard for a given staff grade, the account manager is paid at that grade from the following quarter. The next quarterly assessment is then run against the conversion ratio for the grade already held, and so on.

Article 17 Where an appointed account manager falls below the lower limit required for the technical position, the position is downgraded for the following year.

Article 18 To protect the incentive to build the business, base pay shall provisionally be no less than 40% of total income.

Chapter 8 Management, Rewards and Penalties

Article 19 Retail account managers are governed by the branch account manager management committee, made up of the branch president or the deputy president responsible for the business, and the heads of the personal banking, human resources and risk management departments.

Article 20 All information submitted by an account manager must be true. The branch personal banking department verifies the performance data and is responsible for its accuracy; the branch human resources department verifies qualifications, work history and other basic information and is responsible for its accuracy.

Article 21 Where irresponsible work causes serious risk to asset quality or an actual loss, the penalty ranges from demotion to dismissal. Where the conduct amounts to dereliction of duty, the matter is referred to the judicial authorities for criminal liability.

Chapter 9 Supplementary Provisions

Article 22 These Rules take effect on the date of issue.

Article 23 These Rules are interpreted and amended by the branch.